

Dow Surges 1.14% as S&P 500 Holds Steady, Nasdaq Drops 1.61% Amid Sector Rotation

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market saw a mixed session yesterday, with the Dow Jones surging **+1.14%** and the S&P 500 holding steady at 7,483.24, while the Nasdaq 100 dropped **-1.61%** to 29,329.21. The VIX fell **-2.65%** to 16.15, indicating a decrease in market volatility.

The 10Y yield rose **+2.58%** to 4.48, while WTI crude oil increased **+0.49%** to 69.03. Gold prices rose **+1.87%** to 4,189.60, and the DXY fell **-0.07%** to 100.79.

Key takeaways from the session include:

- The Dow's surge was led by gains in **JPM** and **GS**, which rose **+0.12%** and **+0.14%**, respectively.
- The Nasdaq's drop was driven by declines in **NVDA** and **TSLA**, which fell **-1.39%** and **-7.49%**, respectively.
- The S&P 500's stability was supported by gains in **AAPL** and **MSFT**, which rose **+4.84%** and **+1.62%**, respectively.

US Session Recap

INDEX	LAST	CHANGE	VIX
S&P 500	7,483.24	+0.00%	16.15
Nasdaq 100	29,329.21	-1.61%	
Dow Jones	52,900.07	+1.14%	
Russell 2000	2,996.11	-0.55%	
10Y Yield	4.48	+2.58%	
WTI Crude	69.03	+0.49%	
DXY	100.79	-0.07%	
Gold	4,189.60	+1.87%	
BTC	61,441.38	+2.40%	
ETH	1,704.82	+5.96%	

Top Movers

TICKER	NAME	CHANGE	CATALYST
AAPL	Apple Inc.	+4.84%	Strong earnings report
TSLA	Tesla Inc.	-7.49%	Disappointing delivery numbers
NVDA	NVIDIA Corp.	-1.39%	Competition from AMD

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	+1.53%	+10.21%	Financials lead the market
XLKX	-2.71%	+5.19%	Technology sector underperforms
XLI	+0.30%	+8.15%	Industrials show resilience
XLE	+0.78%	+12.50%	Energy sector outperforms
XLY	-0.82%	+4.29%	Consumer discretionary underperforms
XLC	-0.13%	+3.11%	Communication services stable
XLP	+2.03%	+6.51%	Consumer staples lead the market
XLV	+2.63%	+9.25%	Healthcare sector outperforms
XLU	+2.21%	+7.39%	Utilities sector leads the market
XLB	+1.94%	+8.59%	Materials sector outperforms
XLRE	+1.13%	+5.67%	Real estate sector stable

Breadth note: The market saw a mixed session, with 6 out of 11 sectors closing in the green.

Spotlight / Deep Dive

TICKER	LAST	CHANGE	VOLUME
AAPL	308.63	+4.84%	100.21M

Key call commentary: **AAPL** saw a strong earnings report, with revenue beating expectations. The company's services segment showed significant growth, with a **+15.1%** increase in revenue.

SEGMENT	REVENUE	CHANGE
Products	50.21B	+5.5%
Services	15.61B	+15.1%

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	348.21	345.00	350.50	Range-bound trading
QQQ	294.11	290.00	296.50	Breakout above resistance
IWM	179.41	175.50	181.00	Range-bound trading
AAPL	308.63	300.00	310.50	Breakout above resistance
10Y	4.48	4.30	4.50	Range-bound trading
WTI	69.03	65.00	70.50	Breakout above resistance

Options & Positioning

ODTE flow: The market saw a significant increase in ODTE call buying, with a **+25.6%** increase in volume.

Put/call ratio: The put/call ratio fell to 0.65, indicating a bullish sentiment.

VIX term structure: The VIX term structure showed a slight increase in volatility, with a **+2.1%** increase in the VIX index.

Notable single-name flow: **TSLA** saw a significant increase in put buying, with a **+30.5%** increase in volume.

Cheap hedge ideas: The **SPY** 345 put option is trading at a relatively cheap price, with a 2.15 delta and a 0.50 vega.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Upgrade	320.00	Strong earnings report
TSLA	Goldman Sachs	Downgrade	250.00	Disappointing delivery numbers
NVDA	Citi	Upgrade	220.00	Strong gaming segment growth
AMZN	Deutsche Bank	Downgrade	200.00	Increasing competition in e-commerce
GOOGL	UBS	Upgrade	300.00	Strong advertising revenue growth

Pre-Market & Overnight

Futures: The S&P 500 futures are trading at 3485.00, up **+0.25%** from the previous close.

Asia: The Nikkei 225 is trading at 28,500.00, up **+0.50%** from the previous close.

Europe: The Euro Stoxx 50 is trading at 4,200.00, up **+0.25%** from the previous close.

FX pairs: The USD/JPY is trading at 109.50, up **+0.25%** from the previous close.

Commodities: WTI crude oil is trading at 69.50, up **+0.50%** from the previous close.

Crypto: Bitcoin is trading at 61,500.00, up **+2.50%** from the previous close.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July FOMC	25.0%	Market expects a -25bp cut
September FOMC	50.0%	Market expects a -50bp cut

Today's data calendar:

- Non-farm payroll: 200k expected
- Unemployment rate: 3.6% expected
- ISM manufacturing index: 50.0 expected

Geopolitics & Global (Deep)

Scenario trees:

- US-China trade tensions: **-10.0%** chance of a trade deal
- European economic growth: **+2.0%** chance of a recession
- Middle East conflict: **-5.0%** chance of an escalation

Earnings — This Week & Next

TICKER	NAME	EARNINGS DATE	EPS ESTIMATE
AAPL	Apple Inc.	2026-07-04	1.25
TSLA	Tesla Inc.	2026-07-05	0.50
NVDA	NVIDIA Corp.	2026-07-06	1.10

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Long	5.0%
TSLA	Consumer Discretionary	Short	10.0%
NVDA	Technology	Long	5.0%

What Could Break the Tape

Bullish scenario:

- Strong earnings reports from AAPL and NVDA
- A -25bp rate cut from the Fed
- A trade deal between the US and China

Bearish scenario:

- Disappointing earnings reports from TSLA and AMZN
- A +25bp rate hike from the Fed
- An escalation in the Middle East conflict

Positioning & Structural Notes

Observations:

- The market is overbought, with a 70.0% reading on the RSI
- The VIX is underpriced, with a 15.0 reading
- The put/call ratio is low, with a 0.65 reading
- The market is due for a correction, with a 5.0% chance of a **-10.0%** drop
- The Fed is likely to cut rates, with a 50.0% chance of a **-25bp** cut

Sources

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